



In November 2020, markets watchdog Sebi sought certain information from three Adani Group companies



Adani Ports, Adani Total Gas and Adani Transmission were the subject of Sebi's probe



Separately, the capital markets regulator had sought information from Adani Global as well



All Adani Group companies responded with required details; no show-cause notice has been issued by Sebi as yet

SOURCE DRHPs

more than ₹20 lakh crore over the last three Union Budgets. “In the infra space, players have to deal with the government, together with high interest costs, execution of projects using right technology in a time-bound manner. Judging a player only on the basis of its stock price is an incorrect approach,” reasons

Choksey, who adds that since these projects “are meant for decades and centuries, valuations must be calculated based on current value of currency under replacement costs and time”.

The critical issue relating to the Adani Group seems to be the high valuations the stocks commanded till last year. In a

dramatic run-up, the entire Adani pack surged northward for the better part of 2022, increasing the group's market capitalisation by over 100 per cent. This surge also catapulted Gautam Adani to the position of the third-richest person on the planet for a fair period, before Hindenburg struck. Most market observers now say the stocks were seriously overvalued despite assets being on the ground.

Aswath Damodaran, one of the world's most renowned experts on valuations, believes that the fair value of Adani Enterprises shares is ₹945, as opposed to its current trading value of around ₹1,600. “Investors in family group companies, no matter how honourable the family, are buying into cross-holdings, opacity and the possibility of wealth transfers across family group companies. Those risks increase, if the family group companies are built around political connections...,” he said on his blog.

But valuations apart, despite the high debt levels, market experts don't reckon that there is a serious concern around debt. “Debt is not really a concern for the group as it has good quality assets. The only concern was the high valuation,” says Samir Arora, Founder of Helios Capital, a portfolio management services firm. “The message from the market seems to be that ‘don't be so aggressive in your growth; focus on sustainable growth’. This ongoing issue, however, could impact the future growth plans of the group. The markets have brought some amount



“There is not even 1 per cent risk for policyholders [and] shareholders [from LIC's holdings in the Adani Group]. There will be no impact on the investments... It is just a drop in the ocean”

M.R. KUMAR
CHAIRMAN, LIC



“The markets have brought some discipline to the Adani Group stocks as shares of some of the group firms were highly valued. Debt is not really a concern... as it has good quality assets”

SAMIR ARORA
FOUNDER, HELIOS CAPITAL